The "One More Thing" no one wanted right now

Just when you thought everything was fine, the inevitable happened. All of us, without a role to play, have been handed over a massive bill. And, it has 'AI' written all over it in bold letters.

If you recently logged onto Apple's online store, you would have realised that across the globe, hardware prices have suddenly spiked. But nowhere is this reality more jarring than in India, which took the single hardest hit.

Overnight, the base Mac mini jumped an astounding 58 per cent from ₹59,900 to ₹94,900, while a high-end MacBook Pro saw its price tag swell by a staggering ₹1,00,000. By the time this magazine reaches you, chances are that even the iPhones will see a similar hike – which will be truly something, if you honestly ask me.

Apple's official explanation points directly at a severe, unprecedented global memory shortage. The narrative from Silicon Valley is simple: the insatiable hunger of artificial intelligence data centers is devouring global supplies of DRAM and NAND flash storage, driving component costs up four-fold. In short, because tech giants are building massive AI clusters, your next personal computer is going to cost you a fortune.

But is an AI-induced supply chain crisis the full story, or are we being sold a convenient scapegoat?

To be fair, the structural pressures of the AI boom are entirely real. The entire AI setup relies on massive server farms running complex LLMs (large language models). These data centres require enormous amounts of high-bandwidth memory. This has pushed the prices of memory ships as suppliers like Micron and Samsung have shifted production priorities away from consumer electronics to drive margins from enterprise AI clients.

The consequence is a phenomenon Morgan Stanley dubs "chipflation." The memory chips powering a laptop are the exact same physical resources fought over by corporate data centers. When supply dries up, consumer electronics brands either have to absorb the cost or pass it down. Apple, claiming it shielded consumers for as long as possible, chose the latter.

"Apple quietly shifted its internal currency conversion math. The legacy exchange rate was abandoned and even the entry-level products have seen massive price jumps."

Manas Tiwari
Editor

While the problem is global, the pain is fundamentally unequal. While US pricing saw increases mostly in the mid-to-high teens, Indian consumers were slapped with hikes consistently hovering in the 30 pct to 40 pct range. The reason? Apple quietly shifted its internal currency conversion math. The legacy exchange rate was abandoned and even the entry-level products have seen massive price jumps.

This brings us to the counter-argument that tech companies would prefer we ignore: these price hikes were completely avoidable. There is an argument that Apple made a mind-boggling $112 billion in net income in 2025 and kicked off 2026 with an easy 17 per cent revenue growth. So, it could have temporarily absorbed higher input costs, protecting the consumer base while maintaining healthy yet slightly lower, short-term margins.

Blaming AI infrastructure for making these price hikes "unavoidable" is fine for optics, but it's also a deliberate corporate choice over consumer affordability.

If you think the PC market got hit hard, brace your wallet for the next wave of flagship smartphones. Phones like the upcoming iPhone 18 and Samsung's next Galaxy ultra-flagships are even more vulnerable.

For consumers, the best time to buy tech was yesterday. And, most of them might have already been too late.

Want to share your thoughts, write to : editor@digit.in